

APPLICATION FOR THE ISSUANCE OF COMMERCIAL PAPER

Corporate Regulatory Authority

Thimphu

Subject: Approval of issuance of Commercial Paper

Dear Sir/Madam,

We would like to seek the RoC's approval for the issuance of Commercial paper as per the details provided below:

Serial No.: CP/2025/SL-1R1

Days to Maturity: 180 days

Quantity/Amount: Nu. 200,000,000.00

Date of Issue: ~~31/10/2025~~

12/11/2025

Terms and Conditions (Check List)

1. Maximum Maturity of the Instrument:

1.1: not more than 90 Days

☐

1.2: Above 90 Days

☒

2. Potential Investors:

2.1: Only the Financial Institutions

☐

2.2: Others (Please specify)

☐

3. Additional Requirements:

3.1: The instrument is backed by

3.1.1: Deposits/Receivables/Inventories

and other qualified assets

☒

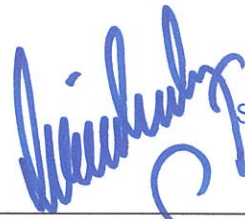
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3.1.2: Corporate/FIs Guarantee ☐

3.2: The instrument is in the denominations of Nu. 100,000/ with multiples of 2000 with total face value of Nu. 200,000,000.00 (200 million) only.

3.3: The CIB Clearance obtained ☒

3.4: Authorization from the board obtained ☒



Chief Executive Officer
State Trading Corporation
of Bhutan Ltd

HEAD OF THE COMPANY (Seal and Sign of Issuer)

Approval Form (to be filled by the RoC)

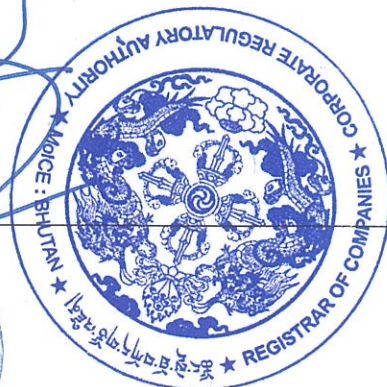
- 1) The MMI Registration No.: CP/2025/SL-TV
- 2) Name of the Issuer: State Trading Corporation of Bhutan Ltd.
- 3) Date Of Issue: ~~31/10/2025~~ 12/11/2025
- 4) Total Face Value of Issue: 100,000
- 5) Date of Maturity: 10/05/2026

APPROVED ☒

NOT APPROVED ☐


Official Seal

Approving Authorized Authority



Annexure II:

Prospectus for public issue of commercial paper worth Nu. 200 million.

The following constitutes full and true disclosure of all material facts relating to commercial papers offered by this prospectus as required by the Companies Act of Bhutan 2016:

1. General Information:

Name of Company: State Trading Corporation of Bhutan Ltd.

Registered office: Babesa, Thimphu

Auditors: GHOSH & ASSOCIATES

Bankers: Bank of Bhutan Ltd.

Registration/License: L19960305BHU028

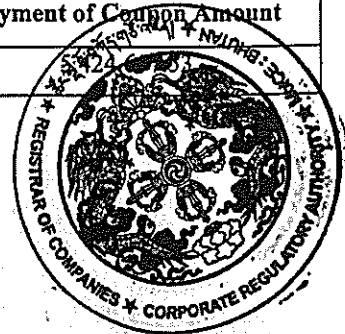
2. Objective of the issue: To Meet the working capital, inventory purchase as per customer order.

3. Particular of offer:

Issue Price per CP	Number of CPs Offered	Subscription Date	Allotment Date	Nature of scrip
100,000	2000	04-11-25	12-11-25	Commercial Paper is secured by inventory worth Nu. 313,625,687.85 and trade receivables worth Nu. 205,296,359.82 as on 09/30/2025.

4. Term of the Commercial Paper & Rate of Interest

Term	Interest	Payment of Coupon Amount
180 Days	5.5%	



5. **Maturity Period:** The maturity period of the CP will be 180 days from the date of allotment as specified above. In the event of premature redemption of the CP, the issuer will redeem only the principal amount and the interest accrued till date of premature redemption subject to 3 % penalty.

6. **Method of distribution:** In lumpsum amount through RSEBL facility.

7. **Use of fund:** The fund shall be used to fund the working capital and procure inventories for customer orders.

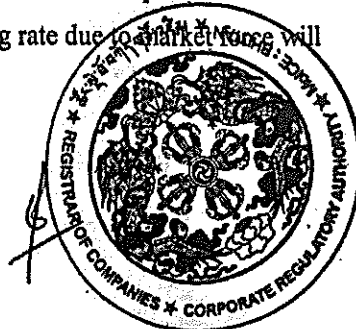
8. **Payment of Interest/coupon:**

- a. The CP shall be listed with the stock exchange for the secondary transaction.
- b. The interest amount shall be paid to the investor A/C payee cheque.
- c. The Central Depository of RSEBL shall be the custodian for the debt instrument and facilitates the interest payment.

9. **Risk factors:**

The investor should make their own assumption/analysis on the general market risk before deciding to invest in the scripts. However, following risks are directly related in the investment business:

- a. **Operational Risk:** STCBL's revenue is dependent directly to the domestic market situation. Change in market situation due to fall in price of competitive product or better product in market may impact net revenue.
- b. **Market/Economy Risk:** STCBL's product depends on change of government policies and regulations. For instance, new regulation has impacted the business in procuring vehicle though there is demand in the market.
- c. **Discount Rate Risk:** The present value of the defined benefit is dependent on the discount rate. The risk of reduction/increase of lending rate due to market force will result in cost of investment.



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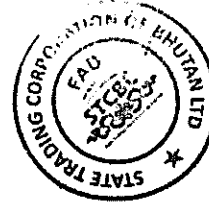
10. Financial Highlights of the issuer for the last 3 years (Audit Figure) and projected 3 years

10.1 Comprehensive Income

Particulars	2022	2023	2024	2025	2026	2027
Total Revenue	3,231.26	3,443.46	5,692.88	6,788.60	6,978.68	7,222.93
Total Expenses	3,151.91	3,423.45	5,675.03	6,606.29	6,837.51	7,042.64
Profit Before Tax	79.36	20.01	17.84	182.31	141.17	180.30
Tax Expenses	22.01	7.31	13.83	54.69	9.50	9.50
Net Profit for the year	57.35	12.71	4.01	127.62	131.67	170.80
Other Comprehensive Income for the Year	64.65	15.51	(3.99)	-	-	-
Total comprehensive income	122.00	28.21	0.027	127.62	131.67	170.80
Earnings Per Share	3.19	0.71	0.18	5.67	5.85	7.59

10.2 Financial Position

Particulars	2022	2023	2024	2025	2026	2027
ASSET						
Total Non-Current Asset	524.57	672.53	708.58	727.12	748.94	771.40
Total current Asset	923.34	799.46	1,028.54	1,222.45	1,283.57	1,347.75
Total Asset	1,447.90	1,471.99	1,737.12	1,949.57	2,032.51	2,119.15
LIABILITIES						
Total Non-Current Liability	647.92	631.13	631.16	748.02	788.42	823.89
Total current Liability	195.34	181.29	183.70	215.59	226.58	238.14
Total Liability	604.64	659.57	922.26	985.96	1,017.51	1,057.11
Total Equity	1,447.90	1,471.99	1,737.12	1,949.57	2,032.51	2,119.15

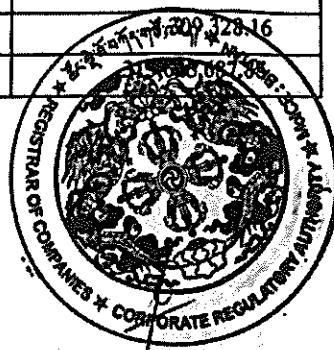


10.3 Inventory Highlights of the Issuer till date 30/09/2025

10.3.1 Inventory Details as on 30/09/2025

The total inventory as on 30th September, 2025 is worth Nu. 313,625,687.85

Sl No.	Particular	Amount (Nu.)
1	TATA VEHICLE	29,860,924.13
2	TATA SPARE PARTS	39,031,762.36
3	EICHER VEHICLE	30,145,338.29
4	EICHER SERVICE VAN	887,045.65
5	HYUNDAI HEAVY EQUIPMENTS	5,809,739.00
6	EICHER SPARE PARTS	4,275,125.60
7	TOYOTO SPARE PARTS	66,697,935.40
8	TOYOTA TYRES & TUBES	1,443,062.30
9	PETROLEUM RAMTOKTO	40,141,903.09
10	MULTI-BRAND SPARE PARTS	3,556,982.75
11	SML SPARE PARTS	7,378,781.86
12	SML VEHICLE	34,676,750.00
13	SIGNAGE	3,048,444.86
14	TRACTORS	3,242,165.19
15	TRACTORS SPARES	1,524,822.97
16	HOUSE HOLD ITEMS	3,381,327.54
17	FRANKEY FABER	5,005,725.93
18	JK TYRES	1,605,339.92
19	APOLLO TYRES & TUBES	13,174,618.24
20	KENT WATER FILTER	1,952,109.48
21	HPCL LUB	2,816,659.19
22	LIGHTING	442,452.83
23	TWO WHEELERS	1,009,981.33
24	COMPUTER & ACCESSORIES	8,207,361.78
25	TATA SERVICE CENTRE - PLING	1,309,328.16

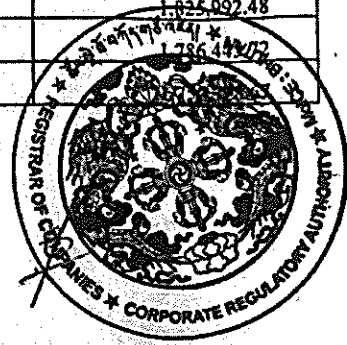


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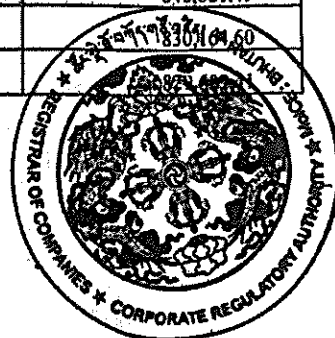
10.3.2 Trade Receivables as on 30/09/2025

Additionally, we will be collecting Nu. 205,296,359.82 within 180 days from various customers as follows:

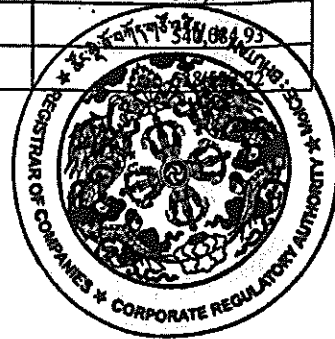
Sl No.	Customer Name	Amount (Nu.)
1	PROJECT DANTAK 60 RCC CHAPCHA	16,125,495.10
2	DRUK GREEN POWER CORPORATION	11,264,965.15
3	RIGSAR CONSTRUCTION PVT LTD	11,935,244.52
4	DEJUNG CONSTRUCTION PVT LTD	7,648,443.95
5	STATE MINING CORPORATION LIMITED SAMTSE	6,460,758.23
6	HON'BLE PEMA RINZING RINCHEN	6,417,112.75
7	M/S. CHEKI WANGMO TRANSPORT	6,075,160.24
8	SONAM TYRES	5,277,365.00
9	DE KHOR CONSTRUCTION PRIVATE LIMITED	4,103,000.00
10	JIGS TYRES & SPARE PARTS	3,354,759.46
11	THIMPHU TECHPARK LIMITED	3,039,391.51
12	M/S CITY BUS SERVICE	2,920,319.78
13	RIGSAR VAJRA JV PVT LTD	2,751,630.01
14	BHUTAN POWER CORPORATION LTD	8,661,489.89
15	HON'BLE LYNPO/DASHO LOTAY TSHERING	2,689,830.42
16	M/S KINJOE BREVERY PVT LTD	2,688,223.43
17	EMPIRE CONSTRUCTION PVT. LTD	2,460,040.68
18	YANGKI TSHOMO	2,369,547.10
19	LOBZANG TSHERING	2,329,185.58
20	ATSARA SPARE PARTS	2,142,971.39
21	RANA ENTERPRISE	2,040,784.45
22	CHODEN TRANSPORT	1,918,242.83
23	KRISHNA MAYA SUBBA	1,857,631.00
24	RAI TYRE SHOP	1,844,268.47
25	MRS KENCHO TSHERING WANGDI	1,825,992.48
26	TSANGLHA CONSTRUCTION	1,786,444.72
27	DRUK HOLDING INVESTMENT	



28	SAMTEN WANGDI	1,716,633.06
29	PELDEN ENTERPRISE	1,552,028.60
30	SONAM	1,533,722.00
31	ROYAL INSURANCE CORPORATION OF BHUTAN	1,529,170.10
32	WANGMO EXPORT AND HIRING	1,500,196.00
33	SAMPHEL TYRES	1,454,525.64
34	UGYEN NAMGAY	1,443,323.00
35	MIGMA AUTO WORKSHOP	1,378,445.00
36	SHA SPARE PARTS SHOP	1,367,556.52
37	K00671 - KUENGA AUTOMOBILE WOR	1,362,727.35
38	OFFICE OF ATTORNEY GENERAL	1,349,448.42
39	THIMPHU THROMDE	1,924,857.99
40	KHENRAB WANGCHUK	3,052,960.40
41	D00660 - DRUK CHHOLAY CONSTRUC	1,241,868.00
42	MINISTRY OF ENERGY AND NATURAL RESOURCES	1,185,555.75
43	MINISTRY OF AGRICULTURE	1,152,226.83
44	DHAREYDARA STONE QUERY	1,142,923.00
45	SANGAY LHENDUP	1,121,343.00
46	BHUTAN LIVESTOCK DEVELOPMENT CORPORATION LTD	1,112,617.53
47	THUENKYEN PHUENTSHOG AUTOMOBILE SERVICE	969,300.82
48	TASHI DUNGKARLING WORKSHOP	967,305.64
49	YESHI DORJI	964,256.00
50	YESHI NORBU	3,095,954.35
51	T & K CONSTRUCTION PVT LTD	957,490.16
52	PHUNTSHO TOBDEN WANGYEL	7,235,633.78
53	GAMMON ENGINEERS AND CONTRACTOR PVT LTD	933,582.25
54	UGYEN TSHENDEN CONSTRUCTION	932,428.05
55	VAJRA BUILDERS PRIVATE LIMITED	897,348.09
56	NEXEN TYRES	888,842.00
57	WANGMO	877,153.00
58	KARMA WANGCHUK TASHI	868,082.72
59	RBG, ROYAL BODYGUARD, DECHENCHOLLING	840,681.49
60	GAWA YARPHEL CONSTRUCTION	1,830,104.60
61	ROYAL BODY GUARD	



62	KUNZANG DORJI	826,460.19
63	BAL AUTOMOBILE WORKSHOP	822,936.66
64	SANGDAG CONSTRUCTION PRIVATE LIMITED	809,770.28
65	M-00245 - MIN OF WORKS & HUMAN	791,084.43
66	R-00051 - RICB, THIMPHU	785,165.02
67	DRUK MINING PVT LTD	780,691.20
68	AJIT ENTERPRISE	760,936.05
69	MINISTRY OF INFRASTRUCTURE & TRANSPORT	740,544.64
70	ROYAL BHUTAN POLICE	732,619.89
71	YESHI AUTO PARTS	718,800.26
72	THUJI CONSTRUCTION PRIVATE LIMITED	710,499.33
73	CHEKI WANGMOTRANSPORT	690,630.90
74	NGAWANG TSHERING	678,758.85
75	SONAM NYEANDA	676,512.45
76	CDCL KC-3B	665,050.72
77	CHEKI WANGMO AUTO SPARE PARTS	663,361.40
78	KARMA NAMGAY	659,364.98
79	MR. CHOGAY DORJI WANGDI	653,533.08
80	AJIFA AND KASHEM TRADERS	635,007.02
81	BHUTAN FOOD & DRUG AUTHORITY	633,775.00
82	ARJUN RAI	632,384.52
83	ROYAL BHUTAN POLICE	627,352.53
84	DND AUTOMOBILE	625,394.00
85	BHUTAN INSURANCE LIMITED	602,030.98
86	LUNGWANG NORPHEL TRANSPORT	599,989.58
87	PEMA KHENRAB	5,321,687.50
88	MINISTRY OF FINANCE	589,127.50
89	GELEPHU MINDFULNESS CITY	568,433.00
90	PRADEEP SPARE PARTS & SALES	567,766.00
91	SINGYE NAMGYE CONSTRUCTION PVT LTD	560,015.00
92	CHA YANG TRANSPORT	552,471.00
93	ROYAL MONETARY AUTHORITY	549,113.47
94	BHUTAN TELECOM LTD	548,084.93
95	KHALING AUTOMOBILE PARTS	



96	M/S HINDUSTAN CONSTRUCTION COMPAY LTD	526,037.07
97	KHESAR GYELPO UNIVERSITY OF MEDICAL SCIENCE	524,634.20
98	RSA PVT LTD	515,017.74
99	EASTERN AUTOMOBILE WORKSHOP	508,201.20
100	MONGAR DZONGKHA ADMINISTRATION	501,028.63
101	DZONGKHAG ADM. ZHEMGANG	490,241.00
102	JAIPRAKASH ASSOCIATES LTD.	487,385.54
103	MANGDECHHU HYDROPOWER PLANT	484,958.00
	TOTAL	205,296,359.82

11. Particular of present Board of Director and CEO

Name	Designation
Mr. Chhime Tshering	Director, Department of Industry General
Mr. Phuntsho Namgyal	Director, Department of Geology and Mines
Mr. Karpo Tshering	Senior Analyst, Druk Holding and Investments Ltd.
Mr. Singye N Dorji	Joint Managing Director, RSA Pvt Ltd
Mr. Chencho Tshering	Chief Executive Officer, Bhutan Yuden Travels
Mr. Leki Dendup	Chief Executive Officer, STCBL
Mr. Prem Bdr Moktan	Director, Bank of Bhutan



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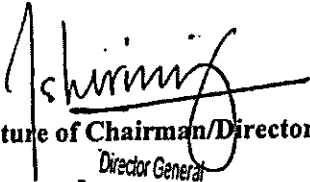


12. Declaration: We hereby declare that the relevant provision of the companies Act

2016 and these guidelines issued by the Regulatory Authority have been complied
with and no statement made in the offer memorandum are contrary to provisions
of the companies Act, 2016.



Date: 16th October, 2025


Signature of Chairman/Director
Director General
Department of Industry
Ministry of Industry, Commerce and Employment
Thimphu : Bhutan


Seal & Signature of Chief Executive Officer
Chief Executive Officer
State Trading Corporation
of Bhutan Ltd



Letter of Intent for Commercial Paper**Draft Letter to admit Commercial paper in Central Depository (to be submitted on the Issuers' Letterhead)**

Date: 04-11-2025

The Chief Executive Officer
Royal Securities Exchange of Bhutan Limited
Thimphu

SUB: Admission of Commercial paper

Dear Sir,

We are pleased to inform you that our State Trading Corporation of Bhutan Ltd.(STCBL) has decided to offer the following Commercial Paper as eligible securitie(s) under the Central Depository Rules. We confirm that these instruments will be governed by the terms and conditions indicated in the bilateral agreement entered between State trading Corporation of Bhutan Ltd. (STCBL), and the Central Depository of the Royal Securities Exchange of Bhutan. The details of the instrument are as follows:

Sl. No	Description of the Security	Allotment date	Maturity date
1.	STCB Commercial Paper Series	12-11-2025	10-05-2026

Please find enclosed the duly filled Form. We request you to take necessary steps to induct our security into your Central Depository system and allocate USIN for the same.

Yours faithfully,



Chief Executive Officer
State Trading Corporation
of Bhutan Ltd

Lekhi Dendup

Chief Executive Officer



1. FILE CREATION FORM FOR COMMERCIAL PAPER

(Kindly ensure that all columns are properly filled. Write "N.A." wherever not applicable).

Full name of the Issuer:

S	T	A	T	E		T	R	A	D	I	N	G		
C	O	R	P	O	R	A	T	I	O	N		O	F	
B	H	U	T	A	N		L	T	D.					

Whether the issuer has already signed agreement with the Central Depository for any other instrument?

YES/NO (Tick the relevant option)

2. (Information sought in section A to be provided for the first issue of commercial paper of the ISSUER through Central Depository. For the subsequent issues, if there is no change in the information sought in section A, please proceed directly to section B)

Section A

Address of the Regd. Office including telephone, fax nos. and email addresses:

ADDRESS: BABESA, THIMPHU

CONTACT NO.: 17232788

Section B

Security Details:

Description of the Security	Issue Date	Redemption Date	Tenure of the security (in days)
STCB Commercial Paper Series CP039	12-11-2025	10-05-2026	180 Days

We hereby certify that:

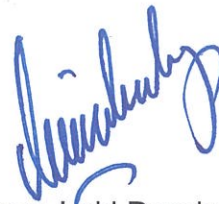
All guidelines issued under the Companies Act, 2016 for the issue of Commercial Paper have been complied with.



We understand that Commercial Paper having the same maturity date will be allotted a single USIN irrespective of the date of allotment.

The information provided above is correct to the best of our knowledge and belief.

Signature:



Chief Executive Officer
State Trading Corporation
of Bhutan Ltd

Date: 04-11-2025

Name: Leki Dendup

Stamp of the Issuer:

Designation: Chief Executive Officer



Public Notification for Issuance of Commercial Paper (CP)

Name of Issuer : State Trading Corporation of Bhutan Ltd. (STCBL)

Address: Babesa, Thimphu

CD Code CP039

Issue Amount: Nu. 200,000,000.00 (Two Hundred Million) only

Maturity Amount: Nu. 200,000,000.00 (Two Hundred Million) only

Discount Rate %: 5.5 %

Issue Date: 12th Nov. 2025

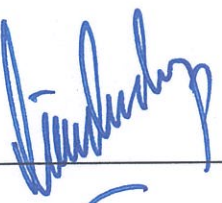
Maturity Date: 10th May, 2026

Terms and Conditions

1. Application must be submitted to the RSEB not later than 12.00 noon on the closing date and applications will be irrevocable after submission.
2. Application must be accompanied by payment in full.
3. The RSEB on the advice of the issuer reserves the right to reject any Application or part of any Application and may allot to the applicants less than the full amount of the CP offered.
4. Allotments shall be made on the scheduled date by the RSEB. In the event of partial allotments of Applications, the excess amount paid shall be refunded or transferred by the RSEB to the Applicants bank account number. If no allotment is made, the amount paid will be returned in full in same manner.
5. No allotment shall be made for an amount less than Nu.100,000/- of the Certificate of CP.



6. The CP ownership shall be issued in demat form and shall be registered electronically with the Central Depository of the Royal Securities Exchange of Bhutan (RSEB). The CP shall be registered in multiples of Nu.100, 000 (One hundred thousand). There will be no individual certificates issued to the applicants. However, the applicants can check their holdings and take statements from the Central Depository.
7. The Central Depository shall provide with the names of the beneficial owners to the issuer at least two working days in advance of the maturity date.
8. The CP shall be registered with the Central Depository upon successful completion of the allotment latest by the following working day along with the list of beneficial owners. Trading in such CP shall cease until the payment date has passed. Such record date will be no more than 2 working days prior to the maturity date.
9. Application forms are available from the RSEB and Issuer.


Chief Executive Officer
State Trading Corporation
of Bhutan Ltd

Seal and Signature of the Issuer

